

Business Brief

Executive Summary

My analysis of 1470 Employee records reveal an annual attrition rate of 16%, resulting in an estimated 27.7 million annually in replacement costs. Huge finding is that employees working overtime are three times more likely to leave than their peers. This isn't just a retention problem but a workload and burnout problem.

Key Findings

- Employees working overtime have 30.5% attrition rate. Three times higher than employees who have no overtime work. Making this a very strong predictor
- Over 29.8% of Attrition occurs within 0-2 years of employment, proving early tenure engagement and retention is of weak standards.
- Sales Representatives & Laboratory Technicians together account for 40% of total leavers. Making them high risk roles.
- Job satisfaction isn't a clear driver for attrition as most of the values fall in the middle and vary in attrition rates indicating other variables effect is higher.

Financial Exposure

- **Total Annual Replacement Cost=** \$27.74 million
- **Cost per Attrition=** \$117,000 (average across all roles)
- **Highest Risk Role:** A single Sales Representative costs the company around \$65k in replace. Costs include recruitment, training and lost productivity. Therefore, with 33 employees leaving that role each year, it costs the company 1.56 million dollars.

Business Recommendations

Audit Overtime Policies in High-Attrition departments

Around 28.3% of total employees are working overtime. Reducing overtime but just 10% will retain at least 14 employees.

Action:

- Conduct a workload audit in Sales and R&D immediately.
- Cap mandatory overtime at 3 days/month and shift to a voluntary opt-in system.
- Redistribute workload across team members to prevent individual burnout.

Launch a Structured 0–2 Year Retention Program

29.8% of all attrition occurs within the first two years. It costs 8.6 million to replace them.

Action:

- 90-day structured onboarding
- Quarterly 1 on 1s to assess any problems.
- 12-month mentorship program

Targeted Compensation Review for Low-Income Band

The Low-salary band shown 21.76% attrition compared to Mid-salary band & High-salary band showed 11.14% and 8% respectively. It costs 9.4 million to replace them.

Action:

- A 12–18-month retention bonus for bottom 20% income earners as paying 12-15% of their annual income per year is way lower than spending 150% of their income in finding a replacement.